



Financing Business Growth

Once your business has reached the point where it needs more money to grow, you will have to make decisions about how much additional finance you require and how to raise it.

Assessing your needs

If you have decided to take your business forward either by growing it or expanding it, your next step will be to plan a strategy to fund this phase. Start by listing the resources that your business requires in order to grow, and

budget for each item. Overbudget slightly to allow for contingencies (unexpected costs that may suddenly arise and potentially derail your project). Having arrived at an overall figure, you should be able to calculate how much funding you need. Be prepared to justify

how you will spend it. The next step is to find the right type of financing for your business.

Types of financing

The nature of your business will dictate the types of financing you might seek. For example, if you

Preparing your finances

When you approach potential lenders, investors, or grant-funding bodies, you need to be clear about what you are asking for and why. You must also be prepared to provide evidence of how far your business has come, how strong its finances are, and how promising its future is. To do this, make sure your finances are in order and you have a well-thought-out plan for spending any money you borrow.

1 Compiling the information

Whatever the type of financing you apply for, you will need to produce the accounts for your trading history and revenue projections.



2 Improving your credit score

To ensure that you have a good credit score, pay business bills promptly, minimize debt levels, register your business with a credit reference agency, and optimize your personal credit score.



4 Planning how to use the money

Prioritize expenditure so that you do not run out of money before the key resources for growing your business have been acquired.



5 Calculate the impact on cash flow

Interest repayments on new loans will require you to have more cash available every month. Time your repayments carefully to ensure that funds are available.

